

Proposed ISQM 1¹: Draft Outline of the Explanatory Memorandum

Objective of this Agenda Item

The objective of this Agenda Item is to provide an overview of the matters that will be included in the explanatory memorandum that will accompany the Exposure Draft (ED) of proposed ISQM 1. The Quality Control Task Force is seeking the IAASB's views as to whether any additional matters should be included that have not been highlighted below.

Matters to be Included in the Explanatory Memorandum

Background

1. Brief project history, highlighting key issues identified in the Invitation to Comment (ITC).²

Significant Matters

1. Highlight the key public interest issues relevant to proposed ISQM 1 (largely highlighted in the ITC).
2. Explain the general approach of the revisions to proposed ISQM 1 and the anticipated benefits of this new approach, i.e., a focus on:
 - (a) Quality management to focus the firm's efforts and resources on areas of quality risk, such that they are more appropriately managed and addressed; and
 - (b) The nature and circumstances of the firm and its engagement such that the system of quality management is tailored for the firm.
2. Highlight the proposed eight components and explain how they interrelate and the structure of the standard. Include the diagram to depict the components.
3. Explain the IAASB's decisions to include an explicit reference to the public interest in proposed ISQM 1.
4. Explain how a system of quality management helps to address impediments to the exercise of professional skepticism at the engagement level.
5. Explain the objective of the standard in comparison to the objective of the system.
6. Describe how the firm's risk assessment process operates, including the need to include the quality objectives and responses required by the standard in the system of quality management, and the further expectations of the firm in establishing quality objectives, identifying and assessing quality risks and designing and implementing responses.
7. Explain how proposed ISQM 1 has been strengthened to address firm governance and leadership's responsibilities.

¹ Proposed International Standard on Quality Management (ISQM) 1 (Previously International Standard on Quality Control 1) (Revised), *Quality Control for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance Engagements or Related Services Engagements*

² Invitation to Comment, *Enhancing Audit Quality in the Public Interest*

8. Explain how proposed ISQM 1 has been modernized to include aspects relating to the firm's use of IT.
9. Information and communication:
 - (a) Highlight the new requirement for the firm to establish an information system and the increased emphasis of two-way communication within the firm; and
 - (b) Explain the IAASB's decisions to addressing communication with external stakeholders, in particular transparency reports.
10. Monitoring and remediation:
 - (a) Highlight how this component has been strengthened from extant ISQC 1, with more focus on monitoring the system as a whole and continuous improvements in quality. In particular, note the new framework for the identification and evaluation of deficiencies and the new requirement for the firm to undertake a root cause analysis on identified deficiencies
 - (b) Explain the new requirement for firm leadership to evaluate whether there is reasonable assurance that the objective of the system has been achieved.
 - (c) Emphasize the new explicit recognition of external inspection findings.
11. Networks and service providers:
 - (a) Highlight the key public interest issues in relation to networks:
 - (i) Undue reliance on network requirements or services.
 - (ii) Transparency of the network structure and operations, including the relationship between the network and the network firms.
 - (iii) Consistency of engagement quality across networks.
 - (b) Explain the basis for IAASB's decision to place the onus on the firm to understand the network requirements or network services and determine the effect of them on the firm's system of quality management, including that they are appropriate. Explain why the IAASB did not conclude to establish requirements for the network itself.
 - (c) Highlight the new requirements for service providers, based on similar concepts as network requirements or network services.
12. Explain how the standard addresses scalability.
13. Explain how the proposals are expected to change firm behavior and improve quality.

Other Matters

14. Outline plans for outreach during the exposure period and additional support materials to accompany the exposure draft.
15. Encourage firms to pilot discrete aspects of the standard, in particular piloting the application of the risk assessment process to one of the components.

Questions to be Included in the Explanatory Memorandum

Overall Questions

1. Has proposed ISQM 1 been appropriately enhanced and modernized in order to promote a more robust and tailored system of quality management. In particular:
 - (a) Do you support the new quality management approach? If not, what specific attributes of this approach do you not support and why?
 - (b) In your view, will the proposals change firms' behavior change as intended (refer paragraph 13) and will such changes have a positive impact on improving quality? If not, what further actions should the IAASB take to improve the standard?
 - (c) Are the requirements and application material of proposed ISQM 1 sufficiently scalable such that they can be applied to firms of varying size, complexity and circumstance? If not, what further actions should the IAASB take to improve the scalability of the standard?
2. Are there any aspects of the standard that may create challenges for implementation, in particular for firms or audit oversight authorities?

Specific Questions

3. Do you agree with the new title of the quality control standards, i.e., the International Standards on Quality Management? In particular, will there be any adverse consequences of changing the title in your jurisdiction?
4. Do you support the eight components and how they interrelate? In particular:
 - (a) What are your views about the structure of the standard?
 - (b) Do you agree that the firm's risk assessment process should be applied to the other components of the system of quality management?
5. Do you agree with how the standard explains the firm's role relating to the public interest, i.e., the firm establishes a system of quality management to support the consistent performance of quality engagements, and the consistent performance of quality engagements serves the public interest? In particular:
 - (a) Should the objective of the standard include an explicit reference to the public interest?
6. Will the application of the firm's risk assessment process result in appropriate quality objectives, quality risks and responses, such that the objective of the standard is achieved? In particular:
 - (a) Do you support the threshold for the identification of quality risks?
 - (b) Is it clear that the firm is expected to:
 - (i) Establish additional quality objectives in certain circumstances; and
 - (ii) In all circumstances, design and implement responses in addition to those required by the standard?
7. Do you support the required quality objectives and responses? In particular:
 - (a) Is the level of granularity of the required quality objectives and responses appropriate?

- (b) Are there any quality objectives and responses that should be required which have been omitted from the standard?
- 8. Do the revisions to the standard appropriately address firm governance and the responsibilities of firm leadership? If not, what further enhancements are needed?
- 9. Do the requirements addressing communication with external parties appropriately address the need for the firm to communicate effectively with external parties in circumstances when it is appropriate to do so? In particular:
 - (a) Are these requirements sufficiently flexible such that they will not stifle further innovation in firm's external communications, and be adaptable for future developments in external communication?
 - (b) What are your views about the effect of the proposals, for example:
 - (i) Will the proposals have the effect of encouraging firms to provide relevant and reliable information to external parties when there is a public demand for such information?
 - (ii) Will the firm's communication have the intended effect of enhancing the public's knowledge of actions taken by the firm to address quality?
- 10. In your view, will the proposals for monitoring and remediation improve the robustness of firms' monitoring and remediation? In particular:
 - (a) Will the proposals improve firms' monitoring of the system of quality management as a whole and encourage firms to develop innovative and effective monitoring activities and techniques?
 - (b) Do you agree with the proposals for inspection of engagements and will it result in firms performing the appropriate nature, timing and extent of monitoring activities to support the evaluation of the system of quality management?
 - (c) In your view, will the requirements to perform root cause analysis result in firms having an appropriate understanding of the cause of deficiencies and have the effect of improving the remediation of deficiencies?
 - (d) Do you support the definition of deficiencies and is the framework for the identification and evaluation of deficiencies clear?
 - (e) What are your views about the new requirement for firm leadership to evaluate whether the system of quality management provides reasonable assurance that the objectives in paragraph 21(a) and (b) have been achieved?
- 11. Do you support the proposals addressing networks and service providers? In particular:
 - (a) For networks, what are your views about how the proposals will impact the network?
 - (b) For firms within networks, what are your views about how the proposals will impact the firm?